Stock lending ratio: reading margin supply, demand and prices

INVESTMENT / ECONOMY / BUSINESS

What is the stock lending ratio?

Japan Securities Finance’s outstanding loans divided by outstanding shares lent. Its coverage differs from the exchange’s margin buying-to-selling ratio.

Reading the ratio

2.5: outstanding loans are 2.5 times outstanding shares lent.
0.5: outstanding shares lent are twice outstanding loans.

Relationship with share prices

Selling to close long positions can weigh on prices. Short sellers’ repurchases can sometimes trigger a short squeeze.

What to check

Check changes in balances, trading volume, share prices and business results together. Do not decide trades from the ratio alone.

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Investment and economics: numbers before intuition.